

China Daily Brief

Friday, October 2, 2026

2,672 words · 11 min read

RE: RE: Xi's National Day Taiwan warning · F-16Vs reach Taiwan · China curbs fuel exports · Antelope Reef buildup · Nvidia chip financing scrutiny

USD/CNY
6.6987
▼ -0.21%

SSE COMPOSITE
3,842.19
▼ -2.40%

HANG SENG
23,972.29
▼ -3.19%

BRENT
\$99.89
▼ -5.12%

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• TODAY AT A GLANCE

- 1 Xi Jinping told a National Day reception China will "resolutely fight secessionist forces seeking 'Taiwanese independence'"; Taiwan's Mainland Affairs Council says the phrase dates to a February 2024 Wang Huning speech, not new escalation.
- 2 Taiwan received its first two F-16V fighter jets at Chihhang Air Base, the first new F-16s delivered since 1997, the same day Reuters reported satellite imagery showing accelerating Chinese construction on Antelope Reef in the South China Sea.
- 3 Beijing resumed curbs on refined-fuel exports as crude and product inventories dwindle, tightening Asian diesel and jet-fuel supply, according to the New York Times and Reuters.

CROSS-STRAIT

Xi vows to "resolutely fight" Taiwan independence forces at National Day reception

Xi Jinping told a Sept. 30 reception at the Great Hall of the People marking the PRC's 77th National Day that China will "resolutely fight secessionist forces seeking 'Taiwanese independence,' oppose external interference and promote the peaceful development of cross-strait relations to advance national reunification," Xinhua reported. Taiwan's Mainland Affairs Council Deputy Chairman Liang Wen-chieh said the phrasing is not new, tracing it to a February 2024 speech by CPPCC Chairman Wang Huning that was later written into the government's March 2024 work report.

REUTERS; TAIPEI TIMES

CROSS-STRAIT

Taiwan's first two F-16V fighter jets arrive at Chihhang Air Base

Two single-seat F-16V jets reached Chihhang Air Base in Taitung on Friday, the first new F-16s Taiwan has received since deliveries of its original F-16A/B fleet began in 1997. The aircraft are part of an \$8 billion deal for 66 F-16Vs approved during Trump's first term, scheduled for delivery this year.

REUTERS; HKFP

INDO-PACIFIC

Satellite images show Chinese construction accelerating on Antelope Reef

New satellite imagery shows Chinese work gathering pace on Antelope Reef in the South China Sea, Reuters reported in an exclusive. The activity adds to a pattern of island-building Beijing has pursued across contested reefs and shoals.

REUTERS

US-CHINA

US slows aircraft-part exports to China for trade leverage, sources say

The US has slowed exports of aircraft parts to China as **Trump** seeks leverage in ongoing trade negotiations, sources told Reuters in an exclusive. The slowdown comes as the two sides continue to implement terms from the May 2026 Beijing summit.

REUTERS

ENERGY

China resumes curbs on fuel exports as domestic inventories dwindle

China has started limiting exports of refined products again as its own crude oil and refined-product inventories have dwindled, the New York Times reports. Reuters separately reported the suspension will choke supplies across Asia, tightening diesel and jet-fuel markets.

• OVERNIGHT

TECHNOLOGY China's AI push creates a new problem: overuse · NYT

As citizens embrace AI for entertainment, relationships and farming advice, Chinese authorities are stepping up efforts to set usage limits, the New York Times reports. The piece ties the push to broader party concerns about AI's social effects.

TECHNOLOGY China mandates universal AI training for students · WaPo

While the US debates AI risk regulation, China has mandated universal AI training in its education system, the Washington Post reports. The policy contrasts with the fragmented US regulatory approach to AI in schools.

CROSS-STRAIT Taipei indicts man for running unregistered Chinese chip firm office · Taipei Times

Prosecutors indicted Lin Hao-yuan, who headed Hefei-based Lontium Semiconductor's unauthorized Taipei office, seeking an 18-month sentence for violating cross-strait relations law. Lontium was among 16 Chinese tech firms investigated by Taiwan's Investigation Bureau since August.

PLA Taiwan MND logs PLA activity around island Oct 2 · Taiwan MND

Taiwan's Ministry of National Defense published its daily tally of PLA aircraft and vessel activity in waters and airspace around Taiwan for Oct. 2.

TECHNOLOGY Anthropic tightens VPN enforcement on Claude in Hong Kong · SCMP

Hong Kong users reported abrupt account suspensions this week after Anthropic stepped up enforcement of geographic restrictions on Claude, SCMP reports. Complaints surfaced on X and Reddit after VPN-based access was cut off.

TECHNOLOGY Micron Taiwan accelerates memory-chip expansion · Taipei Times

Micron Taiwan said accumulated investment in Taiwan reached *NT\$1.6 trillion* (\$50.2B) as of June, with chairman Donghui Lu saying recent spending equals the total invested over the prior 25 years. A Taoyuan fab upgrade with EUV lithography is slated to begin operations late 2027 or early 2028.

INDO-PACIFIC Manila to file updated Thitu Island maritime chart with UN · SCMP

The Philippines plans to file an updated maritime chart with the UN to reinforce South China Sea claims around Thitu Island, SCMP reports. Observers say the filing would not establish sovereignty but could help Manila document and challenge competing claims.

KOREA North Korea's Choe Son-hui congratulates Wang Yi on PRC's 77th National Day · Yonhap Chinese

North Korean Foreign Minister Choe Son-hui sent a congratulatory letter to Wang Yi on Oct. 1 marking the PRC's founding anniversary, referencing the June Pyongyang summit between the two countries' leaders. She pledged to implement the "important consensus" reached by the two parties.

TARIFF · BLOOMBERG

Greer says no date set for US-China Board of Trade tariff cuts

USTR Jamieson Greer said no timeline has been set for tariff reductions under the Board of Trade mechanism agreed at the May 2026 Trump-Xi summit. The comments came as the two sides continue implementing the Beijing summit's trade terms.

TARIFF · NIKKEI ASIA

US will unveil overcapacity countermeasures "within weeks": Greer

USTR Jamieson Greer told Nikkei the US plans to unveil countermeasures against overproduction from China, Japan and others "within weeks." He spoke on the sidelines of a G20 trade ministers meeting in Milwaukee.

EXPORT CONTROLS · BLOOMBERG

Chinese state-backed financier disclosed Nvidia Blackwell chip deal

Semi-Tech Leasing Group, founded by China's national semiconductor Big Fund, financed Glory View Technology's purchase of over 700 servers, including 32 Asus servers carrying export-controlled Nvidia B300 Blackwell chips, per filings reviewed by Bloomberg and Lianhe Zaobao. The servers were deployed at a China Mobile data center in Zhongwei, Ningxia, under Beijing's "East Data West Computing" program.

EXPORT CONTROLS · BLOOMBERG

Man charged with illegally shipping Nvidia chips to China

US prosecutors charged a man with illegally shipping Nvidia chips to China, Bloomberg reported. The case follows a series of recent enforcement actions targeting export-controlled AI hardware diversions.

MILITARY · TAIPEI TIMES

US officials: Chinese invasion before 2028 increasingly unlikely

US officials believe a Chinese invasion of Taiwan before 2028 is increasingly unlikely despite Xi Jinping's instructions for the PLA to be ready by 2027, citing anti-corruption-driven readiness delays and Beijing's interest in Taiwan's 2028 election outcome. One official said Beijing may look to use force in 2028 "if Taiwanese elect a Democratic Progressive Party candidate for a fourth consecutive term."

CONGRESS · REUTERS

US congressman demands Starbucks close its first Xinjiang stores

A US congressman demanded Starbucks close its first stores opened in China's Xinjiang region, Reuters reported. The demand cites ongoing concerns over forced-labor practices in the region.

CONGRESS · TAIPEI TIMES

21 Senate Democrats urge immediate delivery of Taiwan arms

Twenty-one Democratic senators led by Jeanne Shaheen urged Trump to "immediately deliver congressionally approved defense assistance to Taiwan," citing \$1.3 billion in appropriated funds and a \$14 billion arms package approved nine months ago. The statement followed Trump's meeting with Xi Jinping.

LEGAL · REUTERS

Chinese hackers impersonated ex-US official to steal AI expert emails

Hackers linked to China impersonated a former US official to steal emails from AI experts, Reuters reported. The campaign targeted individuals working on AI policy and research.

CROSS-STRAIT · FOCUS TAIWAN

Taiwan Coast Guard expels 2 Chinese boats from its waters

Taiwan's Coast Guard expelled two Chinese boats from Taiwan-controlled waters, Focus Taiwan reported. Separately, the Coast Guard used a water cannon to drive a Chinese fishing boat from waters near Dongsha.

CROSS-STRAIT · TAIPEI TIMES

MAC flags "new method" of Chinese transnational repression

Taiwan's Mainland Affairs Council said unidentified individuals have impersonated documentary distributor Kuan Chien-chung in at least three incidents since November 2025 to threaten a lawyer, a civil defense group and the Taiwan Falun Dafa Association. Deputy Minister Liang Wen-chieh called it a new method of transnational repression.

CROSS-STRAIT · LIANHE ZAOBAO

Tsai Ing-wen to speak at Stanford security conference

Former Taiwan president Tsai Ing-wen will deliver the opening keynote at Stanford's Gordian Knot Center 2026 Technology and National Security conference on Oct. 7, Lianhe Zaobao reported. The center said her two terms saw Taiwan consolidate its position in semiconductors while deepening partnerships and defense investment.

JAPAN · ORIENTAL DAILY

Beijing drops "prime minister" title for Japan's Takaichi

China's Foreign Ministry and state media have referred to Japanese Prime Minister Sanae Takaichi by name only in recent transcripts, omitting her title, which Hong Kong media described as a diplomatic downgrade. The shift follows strained China-Japan exchanges over defense posture.

ASEAN · TAIPEI TIMES

Manila's largest coast guard ship challenges Chinese survey vessel

The Philippine Coast Guard deployed its largest vessel, the BRP Teresa Magbanua, and an aircraft to confront the Chinese research ship Jia Hai Ke 7 off northern Batanes near Taiwan, forcing it to leave its loitering position after it had remained there since Monday. A China Coast Guard vessel then arrived to shield the survey ship and issue its own radio challenges.

INDIA · WASHINGTON POST

Tibet resistance film surfaces as India and China repair ties

A documentary on a forgotten Tibetan resistance movement has drawn new attention as India and China work to repair diplomatic ties, the Washington Post reports. The film's release coincides with warming bilateral relations after years of border tension.

EUROPE · FINANCIAL TIMES

UK universities audit China research ties after MI5 warning

British universities are combing records for China links after a security-agency warning highlighted rising compliance pressures in sensitive research areas, the FT reports. The alert has triggered institution-wide reviews of China-linked funding and partnerships.

EUROPE · REUTERS

China driving "worrying" rise in EU imports, Commission official says

A European Commission official said China is driving a worrying rise in EU imports, Reuters reported. The comment underscores Brussels' growing concern over trade imbalances ahead of an EU commissioner visit to Beijing.

Brazil votes in high-stakes election shadowed by US-China rivalry

Brazil holds a knife-edge presidential vote with US-China rivalry and debt looming over the race, CNBC reports. The outcome is expected to reverberate beyond Brazil's borders given the country's trade ties with both powers.

• STAT OF THE DAY

16%

Growth in China's H1 2026 current account transaction volume

China's combined current-account payments and receipts rose year-on-year in the first half of 2026, per a Beijing municipal government release citing national data, as cross-border trade and investment flows accelerated.

Beijing Municipal People's Government portal

AUTO / VOLVO CARS · FINANCIAL TIMES

Volvo Cars issues profit warning as China sales fall

Volvo Cars pulled its guidance and warned of a "significant negative impact" on earnings as Chinese sales deteriorate, sending shares down 4%.

AUTO / BYD · REUTERS

BYD's September sales rise as export boom offsets weak home demand

BYD's export strength sustained sales momentum in September even as domestic Chinese demand stayed tepid, Reuters and Bloomberg reported.

AUTO · WSJ

China's peak-season auto sales growth disappoints

Overall Chinese auto sales growth during the traditional autumn peak season has fallen short of expectations, the WSJ reports.

FINANCE · BLOOMBERG

Hong Kong stocks post sharpest drop since March, leading Asia lower

The Hang Seng Index fell 3.19% to 23,972.29 on Oct. 2, its worst single-day drop since March, leading declines across Asian markets.

PROPERTY · LIANHE ZAOBAO

China's 100-city new-home prices rise again in September, resale slide widens

New-home prices across 100 cities rose 2.12% year-on-year in September while resale prices fell 6.94% y/y, with the monthly decline widening to 0.6%, China Index Academy data showed. Shanghai's resale prices turned positive for the first time, up 0.11% month-on-month.

PROPERTY · NIKKEI ASIA

China tightens oversight on property developers

Developers that once competed fiercely for prime sites now face tighter state financing oversight, Nikkei reports.

MANUFACTURING / NOVARTIS, ABOGEN BIOSCIENCES · REUTERS

Novartis signs up to \$7.8 billion mRNA deal with China's Abogen

Novartis struck an mRNA-therapy licensing deal worth up to \$7.8 *billion* with China's Abogen Biosciences, Reuters reported.

• WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · FRIDAY, OCTOBER 2, 2026

中国人民银行 · PBOC · *People's Bank of China*

Announces RMB 1.2 trillion outright reverse repo operation

The central bank will conduct a 3-month (89-day) outright reverse repo operation of 12,000亿元 (\$1.68T) on Oct 8, maturing Jan 5 2027, an increase of RMB 200 billion over the expiring tranche to support government bond issuance and liquidity.

→ [PBOC ZH ↗](#)

国务院 · STATE COUNCIL / FINANCE MINISTRY / HOUSING MINISTRY · *State Council*

October 1 regulatory package takes effect nationwide

New rules include a 1-percentage-point mortgage interest subsidy for qualifying first-time homebuyers for one year, a ban on internet platforms prescribing narcotic and psychotropic drugs, and a Guangdong law banning data-driven "big data price discrimination."

→ [State Council ZH ↗](#)

国防部 · MND · *Ministry of National Defense*

PLA, People's Armed Police raise combat readiness duty for National Day

MND said the PLA and People's Armed Police intensified combat-readiness duty over the Oct 1-8 National Day holiday to "safeguard national security and social stability."

→ [MND ZH ↗](#)

习近平 · XI JINPING · TAIWAN REUNIFICATION AT NATIONAL DAY RECEPTION

FIRM · TO TAIWAN

Xi Jinping '· CCP General Secretary, President

“resolutely fight secessionist forces seeking 'Taiwanese independence,' oppose external interference and promote the peaceful development of cross-strait relations to advance national reunification”

Xi made the remarks at a Sept. 30 reception at the Great Hall of the People marking the PRC's 77th National Day, per Xinhua.

Taipei Times (citing Xinhua)

国台办 · TAO · CROSS-STRAIT DIRECT FLIGHT RESUMPTION

FIRM · TO TAIWAN

Zhu Fenglian '· TAO spokesperson

“The obstacle to the full resumption of direct cross-strait flight routes lies with the DPP authorities.”

两岸空中直航航点全面复航的障碍症结在于民进党当局

Zhu made the remarks at the TAO's Sept. 30 regular briefing in response to questions about restoring more direct cross-strait flight routes ahead of the holiday.

国台办 (TAO ZH) via Yicai

外交部 · MOFA · JAPAN'S "THREE NON-NUCLEAR PRINCIPLES"

FIRM · TO JAPAN

MOFA spokesperson '· Ministry of Foreign Affairs spokesperson

“Per 中工网 (Workers' Daily): the international community should urge Japan to abide by the "Three Non-Nuclear Principles.””

国际社会应敦促日本恪守“无核三原则”

The statement came amid broader China-Japan friction over Tokyo's defense posture under Prime Minister Takaichi.

外交部发言人 (MOFA presser ZH) via 中工网

国防部 · MND · COMBAT READINESS DURING NATIONAL DAY HOLIDAY

ROUTINE · TO DOMESTIC

81.cn commentary (MND) '· PLA Daily commentary

“Preparing for war matters more than guarding against floods; deterring war outranks winning it.”

备战甚于防川，止战高于胜战

The commentary ran as the PLA and People's Armed Police raised combat-readiness duty during the Oct. 1-8 National Day holiday, per MND's website.

国防部 (MND ZH), 八一锐评

外交部发言人 (MOFA PRESSER ZH) · SEP 30, 2026

Zakharova · Russian Foreign Ministry spokesperson

“The China-Russia comprehensive strategic partnership of coordination for a new era has reached an unprecedented level and continues to show strong growth momentum.”

Zakharova spoke at Russia's Sept. 30 briefing marking the 77th anniversary of China-Russia diplomatic ties, noting bilateral trade has topped \$200 billion for three straight years.

source

TAIPEI TIMES · OCT 2, 2026

Liang Wen-chieh · Mainland Affairs Council Deputy Minister

“The purpose is to make Mr Kuan run around exhausted,”

Liang's comment addressed at least three incidents since November 2025 in which unidentified individuals impersonated documentary distributor Kuan Chien-chung to threaten a lawyer, a civil defense group and the Taiwan Falun Dafa Association.

source

TAIPEI TIMES · OCT 2, 2026

Jeanne Shaheen · Ranking Member, Senate Foreign Relations Committee

“[US] support for Taiwan's self-defense is non-negotiable and crucial to preventing a cross-strait conflict that would destabilize the region and threaten the global economy”

The joint statement, signed by 21 Senate Democrats including Minority Leader Chuck Schumer, cited \$1.3 billion in congressionally approved funds and a \$14 billion arms package approved nine months ago.

source

ECONOMY

SCMP

Hong Kong ranks 7th globally for drawing next wealthy class

Hong Kong trails Singapore (6th) in attracting next-generation wealthy individuals, a Savills study found.

CNA

Hong Kong retail sales rise 5.6% in August, 16th month of gains

Retail sales value hit HK\$32.1 billion as mainland Chinese visitor arrivals rose 8.2% year-on-year.

YICAI

159 Chinese stocks have doubled in 2026, led by electronics

Electronics and machinery firms account for over half of the doubling stocks, per China Securities Journal data cited by Yicai.

LIANHE ZAOBAO

Bain Capital weighs investment in New World Development

The US private equity firm is considering a stake in the debt-laden Hong Kong developer, which carries roughly HK\$143 billion in debt.

ENERGY

YICAI

Macron calls for G7-coordinated response to rising diesel prices

Macron urged coordinated G7 action to avoid export restrictions as Washington pressed France and Germany to release diesel reserves.

● UPCOMING

OCT
25

UN Resolution 2758 55th anniversary

Contested-interpretation flashpoint over whether the 1971 resolution addresses Taiwan's status; Beijing and Washington read it differently.

NOV
3

US midterm elections

Control of Congress at stake, including composition of the House Select Committee on the CCP.

NOV
10

Busan-deal suspensions approach lapse

The one-year suspensions of the BIS Affiliates ("50%") Rule and China's Oct 2025 rare-earth export controls are due to expire unless extended.

NOV
18

APEC Economic Leaders' Meeting, Shenzhen

China hosts; Trump attendance and any follow-on Trump-Xi meeting unconfirmed.

NOV
28

Taiwan nine-in-one local elections

22 mayors and magistrates and roughly 11,000 offices contested, read as a mid-term referendum on President Lai Ching-te.

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